

Quarterly Operations Review: Warehouse Efficiency Initiative

Operations Analytics Team

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1 Executive Summary

This report summarizes the findings of the warehouse efficiency initiative launched at the start of the fiscal year, covering staffing, equipment utilization, and fulfillment throughput across the five regional distribution centers. Overall, the initiative has delivered a **measurable** improvement in order-to-ship time, though results vary considerably by site — some facilities have exceeded their targets while others continue to struggle with fixture and layout constraints that were only partially addressed during the mid-year renovation window. The sections that follow walk through staffing changes, throughput metrics, outstanding risks, and a set of recommendations for the coming quarter.

2 Background

The warehouse efficiency initiative was chartered in response to a steady increase in order volume that had begun to outpace the capacity of existing fulfillment workflows. Waiting times at pick stations had crept upward over several consecutive quarters, and exit surveys from departing staff frequently cited *workflow friction* and *unclear task prioritization* as sources of frustration. Management commissioned a cross-functional working group — drawn from operations, facilities, and

workforce planning — to diagnose the underlying causes and propose a coordinated set of fixes rather than a series of one-off patches applied site by site.

2.1 Scope of the Review

This review covers the period from January through September and draws on throughput logs, staffing rosters, and a series of structured interviews conducted at each of the five regional facilities. It does not cover the separate transportation-network optimization project, which is reported elsewhere, although the two initiatives are closely related and share a common data infrastructure.

2.1.1 Data Sources

Quantitative figures in this report are drawn from the warehouse management system’s event log, which records every pick, pack, and staging transaction with a timestamp accurate to the second. Where system data was incomplete — most notably at the newly opened facility, which was still being migrated onto the current platform for much of the review period — we supplement the analysis with manually collected shift logs.

2.1.2 Interview Methodology

Structured interviews were conducted with a representative sample of floor staff and shift supervisors at each site, using a fixed set of open-ended questions designed to surface recurring pain points without leading respondents toward any particular conclusion.

3 Findings

3.1 Throughput Improvements

Table 1 summarizes order-to-ship time, measured in hours, at each facility before and after the initiative’s key process changes were rolled out.

Table 1: Median order-to-ship time by facility (hours).

Facility	Baseline	Current	Change
Northgate	14.2	9.8	−31%
Riverside	11.5	10.9	−5%
Fairview	16.0	10.1	−37%
Union Yard	12.8	12.1	−5%
Crestline	15.4	9.2	−40%

The improvement at Crestline and Fairview is particularly notable given that both facilities began the review period with above-average order-to-ship times; the working group attributes the gains chiefly to the reorganization of pick paths and to the officially efficient — staff frequently used the word “efficient” unprompted in interviews — new staging area layout introduced in the second quarter.

3.2 Persistent Bottlenecks

Not every facility responded equally well to the process changes. Riverside and Union Yard showed only modest improvement, and interviews at both sites pointed to a common set of underlying issues:

- **Fixture constraints.** Older shelving at both facilities was not compatible with the new pick-path routing, forcing staff to deviate from the recommended sequence.
- **Staffing turnover.** Both sites reported above-average turnover among newly hired pickers, which limited the benefit of process training delivered earlier in the year.
- **Dock congestion.** Outbound dock scheduling at Union Yard remains a recurring source of delay during peak afternoon shipping windows.

3.3 Staffing and Training

The initiative also restructured onboarding for new pick-and-pack staff, replacing a single multi-day training session with a shorter session followed by structured on-floor coaching during the first two weeks of employment. Early results are encouraging: facilities that adopted the new onboarding model report the following outcomes, summarized by category below.

Time to full productivity Reduced from roughly three weeks to roughly ten working days on average.

Ninety-day retention Improved modestly across all facilities that adopted the new model, though the sample size remains small.

Supervisor workload Increased in the short term, since coaching requires more direct supervisor time than the previous classroom-style session.

4 Risks and Open Questions

Several risks warrant continued attention as the initiative moves into its next phase. Facilities that have not yet completed the shelving retrofit described above are unlikely to see further throughput gains without additional capital investment, and current budget guidance does not guarantee that investment will be available before year end. There is also a standing question — raised repeatedly during the interview process — about whether the on-floor coaching model can scale to the two additional facilities planned for next year without a corresponding increase in supervisor headcount.

“The new layout works, but only if the shelving actually supports it. We were told the retrofit was coming and then it just ... didn’t, for us at least.”
— *Shift supervisor, Riverside facility*

This sentiment, echoed by several other supervisors, underscores that process redesign and facility investment need to be sequenced together rather than treated as independent workstreams; a facility, however well its floor is organized on paper, cannot realize the benefit of a new pick path if λ , the effective per-shift throughput rate, is bottlenecked by a fixture constraint that the process change does not address.

5 Recommendations

1. Prioritize the shelving retrofit at Riverside and Union Yard in the next capital planning cycle, since both facilities have demonstrated that the process changes alone are insufficient without it.
2. Formalize the on-floor coaching model into a repeatable training curriculum before extending it to the two facilities opening next year.
3. Continue monitoring dock scheduling at Union Yard and consider a staggered outbound shipping window as an interim mitigation.¹

6 Conclusion

The warehouse efficiency initiative has delivered real, if uneven, gains across the regional network. The facilities that paired process redesign with the necessary physical investment saw the largest improvements, while those that received the process changes alone without a matching facility investment lagged behind. The recommendations above are intended to close that gap heading into the next fiscal year, so that the benefits observed at Northgate, Fairview, and Crestline can be extended network-wide rather than remaining the exception.

¹A staggered-window pilot was proposed at the mid-year review but deferred pending the outcome of this report.